Punchlist
Real Estate, LLC

PUNCHLIST CAPITAL · INVESTMENT SUMMARY

# 743-751 Arctic St

Bridgeport, CT · Mixed-Use · 11 units · 13,392 SF

ACQUISITION | 5-YEAR HOLD | BASE CASE | CLOSING 1/1/2027

CREDIT GATE
**Not assessed**

| LEVERED IRR | EQUITY MULTIPLE | PURCHASE PRICE | EQUITY REQUIRED |
|---|---|---|---|
| — | 0.00x | $1.80M | $1.85M |
| hurdle 12.00% | ($1.85M) profit | $163,636 per unit | $0 senior loan |

Prepared November 4, 2026

## DASHBOARD

| LEVERED IRR | EQUITY MULTIPLE | UNLEVERED IRR | NET LP IRR |
|---|---|---|---|
| — | 0.00x | — | — |
| Base case | ($1.85M) profit | 0.00x multiple | after promote |

| GOING-IN CAP | YIELD ON COST | YEAR 1 DSCR | LEVERAGE |
|---|---|---|---|
| 0.00% | 0.00% | — | 0.00% LTV |
| Y1 NOI after reserves / price | on total basis $1.85M | minimum 1.25x | 0.00% LTC · 6.75% rate |

### Summary of investment

**Draft: inputs missing (Revenue Basis (rent roll, average rent or commercial rent), Exit Capitalisation Rate). Returns and the credit gate are not meaningful until entered.** **743-751 Arctic St** is a 11-unit mixed-use acquisition in Bridgeport, CT of about 13,392 SF. The plan is to buy it for $1.80M ($163,636 a unit, a 0.00% going-in yield), hold it 5 years and sell at a 0.00% cap rate. Total cost is $1.85M ($168,545 a unit), funded by $1.85M of equity (100.00%) and no debt.

No return is stated for a draft deal.

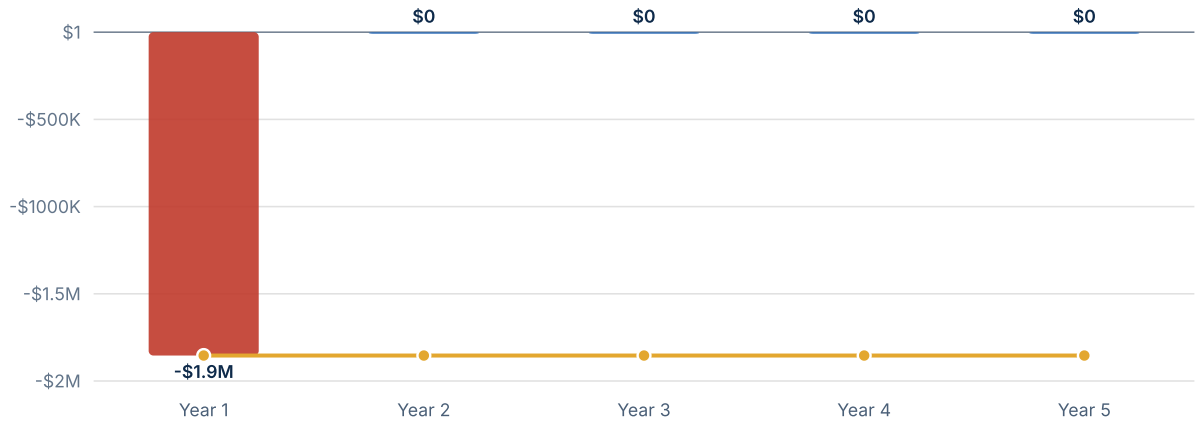
Model checks: 0 failed, 2 warnings, 10 passed, 3 not applicable; to know: levered IRR equals an independent XIRR of the dated cash flows; IP IRR equals an independent XIRR of the dated LP cash flows. Credit gate: **Not assessed**. These are projections from the assumptions entered, not guarantees; see the pages that follow for the basis of each figure.

### Levered return against the hurdle




### Equity cash flow

Each year's cash to equity; the line is the running total. Year 1 includes the equity invested at close.




## HOW IT HOLDS UP BY CASE

| DOWNSIDE · 25.00% LIKELY | BASE · 50.00% LIKELY | UPSIDE · 25.00% LIKELY |
|---|---|---|
| — | — | — |
| 0.00x multiple · ($1.85M) profit | 0.00x multiple · ($1.85M) profit | 0.00x multiple · ($1.85M) profit |

Probability-weighted: expected profit **($1.85M)**, expected multiple **0.00x**, IRR of expected cash flow —; chance of missing the hurdle **100.00%**, of losing money **100.00%**.

## FINANCIAL SUMMARY

| SOURCES | AMOUNT | % |
|---|---|---|
| Senior loan | – | 0.00% |
| Equity | $1,854,000 | 100.00% |
| **Total sources** | **$1,854,000** | **100.00%** |

| USES | AMOUNT | % |
|---|---|---|
| Purchase price | $1,800,000 | 97.09% |
| Closing costs | $36,000 | 1.94% |
| Acquisition fee | $18,000 | 0.97% |
| **Total uses** | **$1,854,000** | **100.00%** |

### Financing

| | |
|---|---|
| Loan amount | – |
| Rate | 6.75% fixed |
| Amortisation | 30 years |
| Sized by | DSCR |
| Loan to value / cost | 0.00% / 0.00% |
| Year 1 debt service | – |
| Year 1 coverage | — |
| Year 1 debt yield | — |
| Balance at sale | – |

### Exit

| | |
|---|---|
| Sale at end of year | 5 |
| Forward NOI | – |
| Exit cap rate | 0.00% |
| **Gross sale price** | **–** |
| Cost of sale | – |
| Loan payoff | – |
| **Net sale proceeds to equity** | **–** |

### Returns

| | |
|---|---|
| Levered IRR | — |
| Equity multiple | 0.00x |
| Equity invested | $1,854,000 |
| Total profit | ($1,854,000) |
| Unlevered IRR | — |
| Unlevered multiple | 0.00x |
| Average cash-on-cash | 0.00% |
| Going-in cap / yield on cost | 0.00% / 0.00% |
| Net LP IRR | — |

### Where each dollar of income goes

Year 1 effective gross income, split into what it pays for and what is left.

Each $1 of Year-1 effective gross income ($0)

## ANNUAL CASH FLOW

| ANNUAL CASH FLOW | CLOSE | YEAR 1 | YEAR 2 | YEAR 3 | YEAR 4 | YEAR 5 | TOTAL |
|---|---|---|---|---|---|---|---|
| REVENUE | | | | | | | |
| **Effective gross income** | | – | – | – | – | – | – |
| OPERATING EXPENSES | | | | | | | |
| **Total operating expenses** | | – | – | – | – | – | – |
| **Net operating income** | | – | – | – | – | – | – |
| **NOI after reserves** | | – | – | – | – | – | – |
| DEBT AND FEES | | | | | | | |
| **Cash flow after debt service** | | – | – | – | – | – | – |
| CAPITAL EVENTS | | | | | | | |
| Equity invested | ($1,854,000) | – | – | – | – | – | ($1,854,000) |
| **Net cash flow to equity** | **($1,854,000)** | – | – | – | – | – | **($1,854,000)** |

| MEASURES | YEAR 1 | YEAR 2 | YEAR 3 | YEAR 4 | YEAR 5 |
|---|---|---|---|---|---|
| Debt service coverage | — | — | — | — | — |
| Debt yield (NOI after reserves / loan) | — | — | — | — | — |
| Cash-on-cash return | 0.00% | 0.00% | 0.00% | 0.00% | 0.00% |
| Expense ratio | — | — | — | — | — |
| NOI margin | — | — | — | — | — |
| NOI growth | | -100.00% | -100.00% | -100.00% | -100.00% |
| Loan balance, year end | – | – | – | – | – |

Close is the equity invested at closing. Net cash flow to equity sums to **($1.85M)** of profit on **$1.85M** invested (0.00x, — levered IRR). Controllable expenses are shown by line in proportion to their inputs; the engine scales them together with occupancy and growth. Debt yield is NOI after reserves over the loan balance at the start of the year.

## DISTRIBUTION WATERFALL

| EQUITY | % | AMOUNT |
|---|---|---|
| LP | 90.00% | $1,668,600 |
| GP (sponsor) | 10.00% | $185,400 |
| **Total equity** | **100.00%** | **$1,854,000** |

| PROMOTE | HURDLE | LP | GP |
|---|---|---|---|
| Tier 1 | 7.00% pref | 90.00% | 10.00% |
| Catch-up | 5.00% of profit | 0.00% | 100.00% |
| Tier 2 | 10.00% IRR | 50.00% | 50.00% |
| Tier 3 | 15.00% IRR | 45.00% | 55.00% |
| Tier 4 | above | 40.00% | 60.00% |

| RESULTS | LP | GP |
|---|---|---|
| Contributed | $1,668,600 | $185,400 |
| Distributed | – | – |
| Profit | ($1,668,600) | ($185,400) |
| Return of capital | — | — |
| Preferred return | — | — |
| Excess cash flow | — | — |
| Promote | — | — |
| IRR | — | — |
| Equity multiple | 0.00x | 0.00x |
| **GP promote** | | **–** |

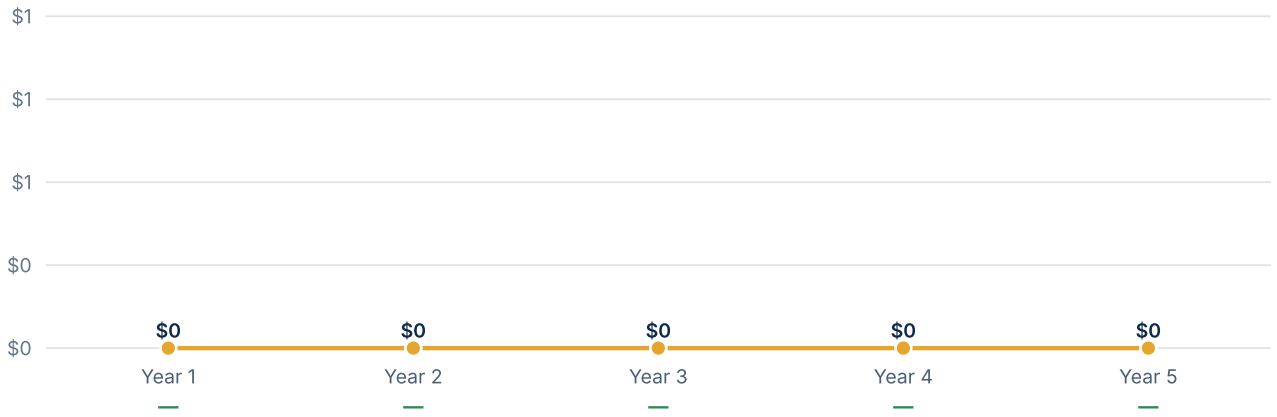
| WATERFALL | CLOSE | YEAR 1 | YEAR 2 | YEAR 3 | YEAR 4 | YEAR 5 |
|---|---|---|---|---|---|---|
| **Cash flow available for distribution** | **($1,854,000)** | **–** | **–** | **–** | **–** | **–** |
| TIER 1 · RETURN OF CAPITAL + 7.00% PREFERRED RETURN | | | | | | |
| Beginning balance | – | $1,668,600 | $1,785,071 | $1,910,380 | $2,044,107 | $2,187,194 |
| Preferred return accrued | – | $116,765 | $124,956 | $133,707 | $143,066 | $153,081 |
| Contributions | $1,668,600 | – | – | – | – | – |
| Distributions applied | – | ($294) | $353 | $20 | $21 | $22 |
| **Ending balance** | **$1,668,600** | **$1,785,071** | **$1,910,380** | **$2,044,107** | **$2,187,194** | **$2,340,298** |
| Distributed to LP (90.00%) | – | – | – | – | – | – |
| Distributed to GP (10.00%) | – | – | – | – | – | – |
| GP CATCH-UP · TO 5.00% OF PROFIT | | | | | | |
| Distributed to GP (100.00%) | – | – | – | – | – | – |
| TIER 2 · TO 10.00% IRR | | | | | | |
| Beginning balance | – | $1,668,600 | $1,834,981 | $2,019,006 | $2,220,907 | $2,442,997 |
| Return accrued at 10.00% IRR | – | $166,785 | $183,500 | $201,859 | $222,045 | $244,249 |
| Distributions applied | – | ($405) | $525 | $42 | $46 | $50 |
| **Ending balance** | **$1,668,600** | **$1,834,981** | **$2,019,006** | **$2,220,907** | **$2,442,997** | **$2,687,297** |
| Distributed to LP (50.00%) | – | – | – | – | – | – |
| Distributed to GP (50.00%) | – | – | – | – | – | – |
| TIER 3 · TO 15.00% IRR | | | | | | |
| Beginning balance | – | $1,668,600 | $1,918,155 | $2,206,724 | $2,537,732 | $2,918,392 |
| Return accrued at 15.00% IRR | – | $250,126 | $287,729 | $330,908 | $380,545 | $437,626 |
| Distributions applied | – | ($571) | $839 | $100 | $115 | $133 |
| **Ending balance** | **$1,668,600** | **$1,918,155** | **$2,206,724** | **$2,537,732** | **$2,918,392** | **$3,356,151** |
| Distributed to LP (45.00%) | – | – | – | – | – | – |
| Distributed to GP (55.00%) | – | – | – | – | – | – |
| TIER 4 · ABOVE 15.00% IRR | | | | | | |
| Distributed to LP (40.00%) | – | – | – | – | – | – |
| Distributed to GP (60.00%) | – | – | – | – | – | – |
| PARTNER CASH FLOWS | | | | | | |
| **LP cash flow** | **($1,668,600)** | **–** | **–** | **–** | **–** | **–** |
| **GP cash flow** | **($185,400)** | **–** | **–** | **–** | **–** | **–** |
| GP promote (above its 10.00% pro rata share) | – | – | – | – | – | – |

Hurdle accounts accrue monthly at each hurdle rate on the LP's own contributions and are reduced only by what the LP receives, so a tier opens once the LP has reached that return. Close is the equity contributed at closing. Every figure is the engine's monthly waterfall rolled up by year.

## PERFORMANCE AND SENSITIVITY

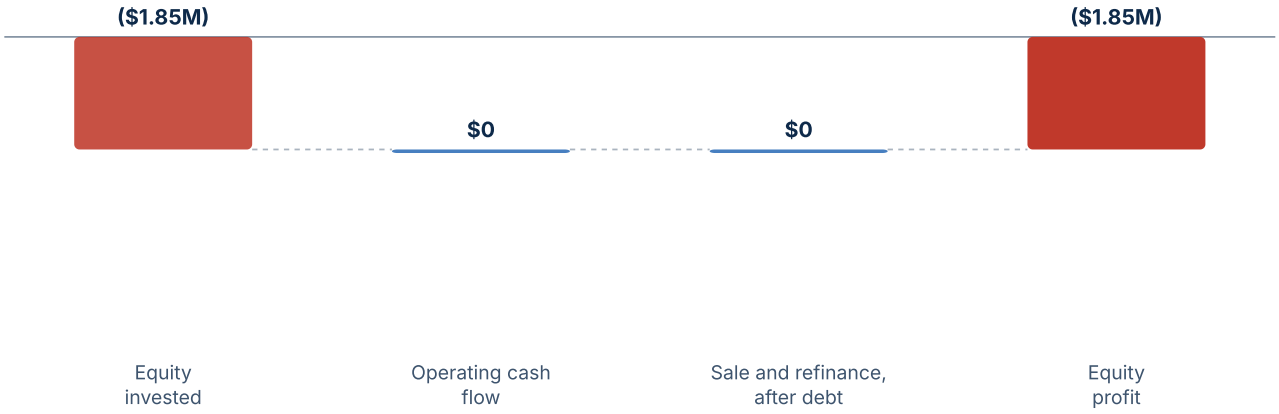
### Income against debt service

Bars are NOI after reserves, the line is debt service, the figure under each year is coverage.




### Where the profit comes from

Equity in, operating cash flow, then sale proceeds net of the loan.




### Return sensitivity

Levered IRR as exit cap and rent growth move.

| | 5.50% | 5.75% | 6.00% | 6.25% | 6.50% |
|---|---|---|---|---|---|
| 2.00% | — | — | — | — | — |
| 2.50% | — | — | — | — | — |
| 3.00% | — | — | — | — | — |
| 3.50% | — | — | — | — | — |
| 4.00% | — | — | — | — | — |

Levered IRR. Columns: exit cap rate. Rows: annual rent growth. Green meets the 12.00% hurdle, red is furthest below it. Outlined cell is the base case.

## KEY ASSUMPTIONS

| | |
|---|---|
| Purchase price | $1.80M ($163,636/unit) |
| Exit cap rate | 0.00% |
| Hold period | 5 years |
| Rent growth | 3.00% / yr |
| Expense growth | 3.00% / yr |
| Vacancy | 0.00% |
| Management fee | 0.00% of EGI |
| Sale cost | 2.00% |

## CREDIT AND MARKET

| CREDIT GATE | DEAL | POLICY | RESULT |
|---|---|---|---|
| Net LP equity multiple | 0.00x | >= 2.00x | FAIL |
| Going-in cap rate (Year-1 NOI / price) | 0.00% | >= 5.00% | FAIL |
| High or critical risks | 0 | <= 2 | PASS |

**Decision: Not assessed**
Inputs incomplete

**Soft:** Going-in cap rate: 500 bps below policy (0.00% vs 5.00%)

**Soft:** Net LP equity multiple: 0.00x vs 2.00x required

**Next step:** Resolve or accept the soft exceptions; conditional approval is available at the committee's discretion.

## AGAINST THE MARKET

Market comparison applies to acquisition deals with benchmarks set.

## ABOUT THIS SUMMARY

Prepared November 4, 2026 from the Punchlist Capital underwriting model (beta). Every figure is read from the live model for the Base case; the sensitivity grid reruns the model for each cell. This summary is an analytical aid, not an offer or a fairness opinion, and is only as good as the assumptions behind it. Check it against your own model before relying on it.

## IMPACT TO PORTFOLIO

**First deal in the portfolio: N/A**
No other underwritten assets are saved in BK Capital, so there is no portfolio to compare against. This deal would be the first asset; the figures below are the deal on its own.

| | |
|---|---|
| This deal on its own | Acquisition · Mixed-Use |
| Equity invested / total cost | $1,854,000 / $1,800,000 |
| Levered profit | ($1,854,000) |
| Levered IRR / multiple | — / — |

Once other deals are saved to the portfolio, this page shows the current assets and what adding this one changes: equity and leverage, the equity-weighted and combined (dated cash flow) IRR, the multiple, concentration in the largest asset, and the mix by property type and by development versus acquisition.